

Amendment No. 1 to HB1134

Hicks G
Signature of Sponsor

AMEND Senate Bill No. 948*

House Bill No. 1134

by deleting all language after the enacting clause and substituting instead the following:

SECTION 1. Tennessee Code Annotated, Section 67-5-207, is amended by adding the following as a new subsection (f):

(1) Notwithstanding subsections (a) and (b) or another law to the contrary, if the legislative body of a county or municipality, as applicable, adopts by resolution or ordinance the affordable housing program provided in this subsection (f), then:

(A) There is also exempted property owned directly or indirectly by a joint venture in which at least one (1) party of the joint venture is a qualified general partner; provided, that such property is used solely to provide permanent affordable housing to low-income households, of which at least thirty percent (30%) of the units at such property are dedicated to provide permanent, qualified affordable housing for veterans experiencing homelessness;

(B) An owner or owners of a project that exceeds twelve (12) units must agree to make payments in lieu of taxes to the tax jurisdictions in which they are located, in an amount negotiated to cover the cost of improvements, facilities, or services rendered by the tax jurisdiction, but if an amount is not agreed upon, then the payments must be not less than twenty-five percent (25%) of the amount of tax that would be due if the project were not exempt; and

(C) A joint venture will be deemed to provide permanent affordable housing to low income households if one hundred percent (100%) of the units available at the property are leased at rents that are affordable to households

that are low-income, according to the income limits computed and published by the department of housing and urban development under the United States Housing Act of 1937 (42 U.S.C. § 1437 et seq.).

(2) For purposes of this subsection (f):

(A) "Joint venture" includes limited partnerships and any wholly owned limited liability companies of the limited partnership that are disregarded for tax purposes in this state;

(B) "Low income" means eighty percent (80%) or less of the applicable area's median income;

(C) "Qualified general partner" means a not-for-profit organization exempt from federal income taxation as a charitable or social welfare organization under Section 501 of the Internal Revenue Code (26 U.S.C. § 501), as amended, that:

(i) Has a purpose and mission of addressing homelessness or providing housing for veterans experiencing homelessness; and

(ii) Has charter provisions that provide that:

(a) Directors and officers of the organization serve without compensation;

(b) The organization is irrevocably dedicated to and operated exclusively for not-for-profit purposes;

(c) No part of the income or assets of the organization are distributed to nor inure to the benefit of any individual;

(d) In the event of dissolution of the organization or other liquidation of its assets, the organization's property shall not be conveyed to any individual for less than the fair-market value of such property; and

(e) All assets remaining after payment of the organization's debts must be conveyed or distributed only to an organization or organizations created and operated for not-for-profit purposes similar to those of the organization; and

(D) "Veteran experiencing homelessness" means a former member of the United States armed forces who is in receipt of a Veterans Affairs Supportive Housing voucher or other form of rental subsidy designated for veterans experiencing or at risk of homelessness, or who is referred to the subject property through a coordinated entry system by a local housing placement organization created to assist veterans in need of housing.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.